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Shanghai Conant Optical Co Ltd | Asia Pacific

1H26: Resilient Core Business, Surging XR Revenue, OW

AlphaSignals Earnings Reaction

Strengthens our thesis
Impact to our thesis

↑ Modest upside
Financial results versus consensus

— Largely unchanged
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Core business continued to see mix optimization and margin improvement.
- XR business saw ~15x revenue growth in 1H26, a milestone for Conant.
- We reiterate our OW rating and expect the company's XR business to contribute more meaningful revenue and earnings in the following 1-2 years.

Positive revenue mix change: Own brand revenue was Rmb788.9mn (+17% YoY), lifting share of total revenue from 62% to 68% — a structural positive for margins. ODM revenue declined 7.2% YoY to Rmb378.3mn on a high base. By product type: Standardized lenses -5.7% YoY; functional lenses +11.9% YoY; customized lenses +37.4% YoY — the mix shift toward higher-value products is clearly intact.

Surging XR business: Revenue reached Rmb50.5mn (+1,475% YoY). The growth rate confirms the ramp-up of smart glasses lens orders.

Improving GPM: GPM expanded 190bps YoY to 42.9% (1H25: 41.0%), within which, own-brand GPM improved to 45.5% (1H25: 43.8%) while ODM GPM edged up to 37.5% (1H25: 36.3%).

Lower opex ratio, upbeat earnings growth: The opex ratio edged down to 13.3% in 1H26 vs. 13.8% in 1H25. The reported earnings stood at Rmb301mn, up 10% YoY. Excluding the FX loss of Rmb57mn, the adjusted net profit increased 27.6%, which is upbeat vs. our and market expectations.

The company will host an analyst presentation at 9.30 am HKT on August 18 in Hong Kong.

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Asia Summer School 2026

Shanghai Conant Optical Co Ltd (2276.HK, 2276 HK)

Greater China Technology Hardware | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$50.00
Up/downside to price target (%)	22
Shr price, close (Aug 17, 2026)	HK\$40.94
52-Week Range	HK\$66.50-27.26
Sh out, dil, curr (mn)	465
Mkt cap, curr (mn)	Rmb16,349.5
EV, curr (mn)	Rmb16,332.0
Avg daily trading value (mn)	HK\$101

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.20	1.45	1.84	2.17
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	1.17	1.40	1.74	2.30
Revenue, net (Rmb mn)	2,186.0	2,660.8	3,292.7	3,902.8
EBITDA (Rmb mn)	722.1	932.5	1,188.8	1,418.3
ModelWare net inc (Rmb mn)	557.7	673.8	857.7	1,010.3
P/E	40.4	24.3	19.1	16.2
P/BV	8.2	5.0	4.1	3.4
RNOA (%)	31.1	23.8	27.8	30.5
ROE (%)	35.2	24.6	26.4	25.4
EV/EBITDA	31.2	17.2	13.1	10.5
Div yld (%)	0.7	0.8	1.0	1.2
FCF yld ratio (%)**	(5.0)	2.9	4.1	5.6
Leverage (EOP) (%)	(11.9)	(20.8)	(31.7)	(42.6)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Results Summary

Exhibit 1: 1H26 Results Review

(Rmb mn)	1H25	1H26	YoY
Net sales	1,084	1,167	8%
Gross profit	444	500	13%
% GPM	41.0%	42.9%	1.9%
Distribution and selling expenses	(54)	(65)	20%
Administrative expenses	(94)	(90)	-4%
Other expenses	(2)	(1)	-17%
OPEX	(149)	(156)	4%
% OPEX	13.8%	13.3%	-0.4%
Operating income	295	345	17%
% OPM	27.2%	29.5%	2.3%
Total Non-op	22	(6)	-129%
Pre-tax income	317	339	7%
Income tax	(44)	(37)	-15%
% effective tax rate	13.9%	11.0%	-2.8%
Net income	273	301	10%
% NPM	25.2%	25.8%	0.6%

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Shanghai Conant Optical Co Ltd (2276.HK)

Base case, residual income model (RIM)-derived SOTP methodology. We use RIM valuation methodology for Greater China Hardware Tech companies in our coverage, while SOTP accounts for the diverse growth profiles of Conant's traditional business and new AR/AI related new business. We apply a CoE of 11%, medium-term growth rates of 16%, 19% and 22%, and long-term growth rates of 3%, 5% and 5% for standardized, functional and customized lenses.

Risks to Upside

- Faster-than-expected share gains from new international clients
- Breakthroughs in AR/AI glasses business
- Faster-than-expected growth of functional and customized lenses

Risks to Downside

- Negative impact from trade disputes given large overseas exposure
- More intense industry competition
- Supply chain disruption, which could have a negative impact on production volume or quality

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Shanghai Conant Optical Co Ltd (2276.HK) - As of 08/17/26 GMT in HKD
Industry : Greater China Technology Hardware



Stock Rating History: 9/11/25 : E/I; 4/10/26 : O/I

Price Target History: 9/11/25 : 50

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/17/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$43.36
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb199.75
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$24.16
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.78
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.39
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb466.68
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$676.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb22.11
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.69
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb35.09
Largan Precision (3008.TW)	O (07/10/2026)	NT\$5,070.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.02
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.98
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.68
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$63.40
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb58.84
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.20
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.02
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb60.30
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$40.94
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb55.40
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$59.80
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb286.56
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.60
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$25.88
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb376.54

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$148.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb107.44
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb29.10
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,001.03
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$25.74
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb36.02
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,290.00
Advantech (2395.TW)	O (01/20/2021)	NT\$674.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,465.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,150.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$27.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,005.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,135.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.08
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,010.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,360.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,885.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$162.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$59.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,925.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$381.50
Innolux (3481.TW)	E (04/07/2025)	NT\$51.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,750.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb36.99
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$263.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.19
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.69
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb240.50
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.45
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$938.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$204.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$41.65
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.49
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb68.23
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$358.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,010.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$255.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb80.68
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,790.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$33.02
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,700.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,295.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.30
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$333.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb144.49
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb392.90
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,120.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$417.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$187.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,620.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$608.00
Zhen Ding (4958.TW)	++	NT\$503.00

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* Historical prices are not split adjusted.

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